

5.1.3 Net debt

€ millions	30.06.2024	30.06.2025
Gross non-current debt	11,040	10,434
Gross current debt	2,130	1,718
Non-current derivative instruments – assets	—	(36)
Current derivative instruments – assets	—	—
Non-current derivative instruments – liabilities	10	—
Current derivative instruments – liabilities	6	4
Cash and cash equivalents	(2,683)	(1,829)
NET DEBT EXCLUDING LEASE LIABILITIES	10,503	10,292
Lease liabilities	448	435
NET DEBT	10,951	10,727
Free cash flow ⁽¹⁾	963	1,133

(1) The calculation of free cash flow is set out in section 5.3 "Net debt" to the management report.

5.1.4 Cash flow statement

€ millions	30.06.2024	30.06.2025
Self-financing capacity before interest and taxes	3,378	3,101
Net interest paid	(336)	(426)
Net income tax paid	(547)	(417)
Decrease/(increase) in working capital requirement	(768)	(470)
Net change in cash flow from operating activities	1,727	1,788
Net change in cash flow used in investing activities	(676)	(521)
Net change in cash flow used in financing activities	(209)	(2,396)
Cash flows from discontinued operations	—	—
Translation differences	232	275
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	1,609	2,683
CASH AND CASH EQUIVALENTS AT END OF PERIOD	2,683	1,829

5.2 Analysis of business activity and results

Consistent organic operating margin expansion, investing in brand desirability and sustainable long-term growth

- **Fiscal year 2025 Organic Net Sales -3.0%**, with declines in China, USA and GTR Asia negatively impacting mix, while many markets posted a resilient to strong growth, leading to gaining or maintaining shares in most of them.
- **Continued volume recovery (+2%)** with three consecutive semesters of volume growth.
- **Strong FY25 organic operating margin expansion at +64bps**, supported by the completion in FY25 of a €900m efficiency program FY23-25 and strong cost discipline.

- **Sustained reported operating margin** despite significant adverse FX impacts.
- **Free Cash Flow at €1.1bn**, (+18%) notably with strong Operating Working Capital management, leading to a strong improvement in cash conversion.
- Sustainable long-term growth investments with €1.2bn in **Capex and Strategic Inventories**, passed peak in FY24, along with continued dynamic portfolio management (including Wines and Imperial Blue⁽¹⁾ businesses disposals).

⁽¹⁾ Subject to regulatory approvals.

6.1 Consolidated income statement

€ millions	30.06.2024	30.06.2025	Notes
Net sales	11,598	10,959	2
Cost of sales	(4,623)	(4,443)	2
Gross margin after logistics expenses	6,975	6,516	2
Advertising and promotion expenses	(1,872)	(1,679)	2
Contribution after advertising and promotion expenses	5,103	4,837	2
Structure costs	(1,987)	(1,886)	
Profit from recurring operations	3,116	2,951	
Other operating income/(expenses)	(392)	(208)	3.1
Operating profit	2,724	2,743	
Financial expenses	(505)	(584)	3.2
Financial income	68	92	3.2
Financial income/(expenses)	(437)	(492)	
Corporate income tax	(766)	(574)	3.3
Share of net profit/(loss) of associates	(7)	(3)	
Net profit of discontinued and held for sale activities	—	—	
Net profit	1,514	1,674	
of which:			
• non-controlling interests	38	48	
• attributable to Group shareholders	1,476	1,626	
Earnings per share – basic (€)	5.84	6.47	3.4
Earnings per share – diluted (€)	5.83	6.45	3.4

6.3 Consolidated balance sheet

ASSETS

€ millions	30.06.2024	30.06.2025	Notes
Net amounts			
NON-CURRENT ASSETS			
Intangible assets	12,234	11,515	4.1
Goodwill	6,806	6,406	4.1
Property, plant and equipment	3,982	4,206	4.2
Non-current financial assets	932	974	4.3
Investments in associates	58	68	
Non-current derivative instruments	–	36	4.3/4.10
Deferred tax assets	1,713	1,518	3.3
Total non-current assets	25,725	24,722	
CURRENT ASSETS			
Inventories and work in progress	8,255	8,418	4.4
Trade receivables and other operating receivables	1,581	1,484	4.5
Income taxes receivable	122	99	
Other current assets	416	445	4.6
Current derivative instruments	8	18	4.3/4.10
Cash and cash equivalents	2,683	1,829	4.8
Total current assets	13,065	12,292	
Assets held for sale	395	65	
TOTAL ASSETS	39,185	37,080	

LIABILITIES AND SHAREHOLDERS' EQUITY

€ millions	30.06.2024	30.06.2025	Notes
SHAREHOLDERS' EQUITY			
Share capital	393	391	6.1
Share premium	3,052	3,052	
Retained earnings and translation differences	10,828	10,143	
Group share of net profit	1,476	1,626	
Group shareholders' equity	15,749	15,212	
Non-controlling interests	1,048	1,014	
Total shareholders' equity	16,797	16,226	
NON-CURRENT LIABILITIES			
Non-current provisions	313	298	4.7
Provisions for pensions and other long-term employee benefits	277	265	4.7
Deferred tax liabilities	3,153	3,063	3.3
Bonds – non-current	10,907	10,339	4.8
Non-current lease liabilities	352	344	4.8
Other non-current financial liabilities	133	96	4.8
Non-current derivative instruments	11	1	4.10
Total non-current liabilities	15,146	14,405	
CURRENT LIABILITIES			
Current provisions	158	147	4.7
Trade payables	2,930	2,711	
Income taxes payable	149	203	3.3
Other current liabilities	1,607	1,555	4.11
Bonds – current	1,778	1,241	4.8
Current lease liabilities	96	91	4.8
Other current financial liabilities	352	478	4.8
Current derivative instruments	21	17	4.10
Total current liabilities	7,091	6,442	
Liabilities related to assets held for sale	151	7	
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	39,185	37,080	

6.5 Consolidated cash flow statement

€ millions	30.06.2024	30.06.2025	Notes
CASH FLOWS FROM OPERATING ACTIVITIES			
Group share of net profit	1,476	1,626	
Non-controlling interests	38	48	
Share of net profit/(loss) of associates, net of dividends received	9	4	
Financial (income)/expenses	437	492	
Tax (income)/expenses	766	574	
Net profit from discontinued operations	—	—	
Depreciation of fixed assets	441	422	
Net change in provisions	(37)	(42)	
Net change in impairment of goodwill, property, plant and equipment and intangible assets	495	52	
Changes in fair value of commercial derivatives	5	(3)	
Changes in fair value of biological assets and investments	(5)	(4)	
Net (gain)/loss on disposal of assets	(292)	(93)	
Share-based payments	45	25	
Self-financing capacity before interest and taxes	3,378	3,101	
Decrease/(increase) in working capital requirement	(768)	(470)	5.1
Interest paid	(355)	(443)	
Interest received	19	17	
Tax paid/received	(547)	(417)	
Net cash from operating activities	1,727	1,788	
CASH FLOWS FROM INVESTING ACTIVITIES			
Capital expenditure	(773)	(667)	
Proceeds from disposals of property, plant and equipment and intangible assets	8	12	
Purchases of financial assets and activities	(245)	(174)	5.2
Disposals of financial assets and activities	334	308	5.2
Net cash used in investing activities	(676)	(521)	
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividends and interim dividends paid	(1,208)	(1,201)	
Other changes in shareholders' equity	—	4	
Issuance of long-term debt	2,815	978	5.3
Repayment of debt	(1,357)	(2,052)	5.3
Repayment of lease liabilities	(125)	(113)	
(Acquisition)/Disposal of treasury shares	(334)	(11)	
Net cash used in financing activities	(209)	(2,396)	
Cash flows from non-current assets held for sale	—	—	
Increase/(Decrease) in cash and cash equivalents before foreign exchange impact	842	(1,129)	
Translation differences	232	275	
Increase/(Decrease) in cash and cash equivalents after foreign exchange impact	1,074	(854)	
Cash and cash equivalents at beginning of period	1,609	2,683	
CASH AND CASH EQUIVALENTS AT END OF PERIOD	2,683	1,829	

NOTE 2 Segment information

Net sales

The Group's net sales primarily comprise sales of finished products and are recorded in the income statement upon transfer of control of the products. They are measured at the fair value of the consideration received or to be received after deducting trade discounts, volume rebates, certain costs associated with business and promotional activity and sales-related taxes and duties, notably excise duties.

Costs of commercial and promotional activity

Pursuant to IFRS 15, certain costs of services rendered in connection with sales, such as advertising programmes in conjunction with distributors, listing costs for new products, promotional activities at point of sale, and advertising and promotion expenses, are deducted directly from net sales if there is no distinct service whose fair value can be reliably measured.

Duties and taxes

In accordance with IFRS 15, certain import duties, in Asia for instance, are classified as cost of sales, as these duties are not specifically re-billed to customers (as is the case for social security stamps in France, for example).

Discounts

In accordance with IFRS 15, early payment discounts are not considered to be financial transactions, but rather are deducted directly from net sales.

Gross margin after logistics expenses, contribution after advertising and promotion expenses, profit from recurring operations and other operating income and expenses

The gross margin after logistics expenses corresponds to net sales (excluding duties and taxes), less cost of sales and logistics expenses. The contribution after advertising and promotion expenses includes the gross margin after logistics expenses and advertising and promotion expenses. The Group applies Recommendation 2013-R03 of the French accounting standards-setter (*Autorité des normes comptables* - ANC), notably as regards the definition of profit from recurring operations. Profit from recurring operations is the contribution after advertising and promotion expenses less trading costs and overheads. This is the indicator used internally to measure the Group's operational performance. It excludes other operating income and expenses, such as those related to restructuring, capital gains and losses on disposals, impairment of property, plant and equipment and intangible assets, and other non-recurring operating income and expenses. These other operating income and expenses are excluded from profit from recurring operations given their unusual, abnormal and infrequent nature, which would distort the understanding of the Group's performance. They are described in detail in Note 3.1 - *Other operating income/ (expenses)*.

The Group is focused on the business of selling and manufacturing wines and spirits. The Group is structured into three operating segments constituted by the following geographical areas: Americas, Europe, and Asia/Rest of the World.

Group management assesses the performance of each operating segment on the basis of net sales and profit from recurring operations, defined as the gross margin after logistics expenses, less advertising and promotion expenses and structure costs. The segments presented are identical to those included in the reporting provided to General Management, in particular for performance analysis.

Income statement and balance sheet items are allocated among the segments on the basis of either the destination of sales or profits. Operating segments follow the same accounting policies as those used for the preparation of the consolidated financial statements. Inter-segment transfers are transacted at market prices.

30 JUNE 2024
€ millions

	Americas	Asia/Rest of the World	Europe	Total
Income statement items				
Segment net sales	3,934	6,078	8,831	18,843
<i>o/w inter-segment sales</i>	594	1,106	5,545	7,245
Net sales (excluding Group)	3,340	4,973	3,285	11,598
Gross margin after logistics expenses	2,162	2,851	1,962	6,975
Contribution after advertising and promotion expenses	1,493	2,173	1,437	5,103
Profit from recurring operations	878	1,461	777	3,116
Other information				
Current investments	216	152	511	879
Depreciation, amortisation and impairment, net	66	(358)	(644)	(935)

30 JUNE 2025 € millions	Americas	Asia/Rest of the World	Europe	Total
Income statement items				
Segment net sales	3,745	5,388	8,711	17,844
<i>o/w inter-segment sales</i>	590	753	5,541	6,884
Net sales (excluding Group)	3,154	4,635	3,170	10,959
Gross margin after logistics expenses	2,021	2,620	1,875	6,516
Contribution after advertising and promotion expenses	1,419	2,040	1,378	4,837
Profit from recurring operations	847	1,360	744	2,951
Other information				
Current investments	173	104	512	790
Depreciation, amortisation and impairment, net	(101)	(73)	(302)	(476)

The impact of right-of-use assets on current investments and net depreciation, amortisation and impairment is as follows:

30 JUNE 2025 € millions	Americas	Asia/Rest of the World	Europe	Total
Current investments	36	43	61	140
Depreciation, amortisation and impairment, net	(37)	(49)	(22)	(109)

BREAKDOWN OF NET SALES BY BRAND

€ millions	30.06.2024 published	30.06.2024 restated	30.06.2025	Change	Change (%)
Strategic International Brands	7,168	7,168	6,714	(454)	-6%
Strategic Local Brands	2,104	2,042	2,017	(25)	-1%
Strategic Wines	423	423	438	15	4%
Specialty	846	877	807	(70)	-8%
Other products	1,057	1,088	983	(105)	-10%
TOTAL	11,598	11,598	10,959	(639)	-6%

From FY 2025, the "Strategic Local Brands" and "Specialty" brands segments have evolved to reflect the active management of the portfolio, following the disposal of certain non-strategic local brands.

This change in segmentation has been applied to the period ended 30 June 2024 to ensure meaningful comparison.

BREAKDOWN OF NET SALES BY COUNTRY

€ millions	United States	China	India	France	Other countries	Total
Net sales for FY 2024	2,166	1,123	1,408	561	6,341	11,598
Net sales for FY 2025	2,028	886	1,454	547	6,046	10,959

The Group does not disclose the breakdown of non-current assets by country, as a significant proportion of these assets consists of brands and goodwill, which are analysed based on the sales they generate by country, and not based on the legal entity.

Note 3.4 Earnings per share

Basic and diluted earnings per share are calculated on the basis of the weighted average number of outstanding shares, less the weighted average number of dilutive instruments. For the purposes of determining earnings per share, the average number of outstanding shares is equal to the weighted average number of outstanding shares less the weighted average number of treasury shares.

The calculation of diluted earnings per share takes into account the potential impact of the exercise of all dilutive instruments (such as stock options, convertible bonds, etc.) on the theoretical number of shares. When funds are obtained at the date of exercise of the dilutive instruments, the "treasury stock" method is used to determine the theoretical number of shares to be taken into account.

Numerator (€ millions)	30.06.2024	30.06.2025
Group share of net profit	1,476	1,626
Denominator (number of shares)		
Average number of outstanding shares	252,595,588	251,515,214
Dilutive effect of performance share grants	545,642	495,311
Dilutive effect of stock options	47,076	748
Average number of outstanding shares – diluted	253,188,307	252,011,273
Earnings per share (€)		
Earnings per share – basic	5.84	6.47
Earnings per share – diluted	5.83	6.45

Note 3.5 Expenses by type

Operating profit notably includes depreciation, amortisation and impairment expenses as well as employee benefits expense as follows:

€ millions	30.06.2024	30.06.2025
TOTAL DEPRECIATION, AMORTISATION AND IMPAIRMENT EXPENSE	(936)	(476)
Salaries and payroll costs	(1,664)	(1,610)
Pensions, medical expenses and other similar benefits under defined-benefit plans	(28)	(27)
Share-based payments	(45)	(26)
TOTAL EMPLOYEE BENEFITS EXPENSE	(1,737)	(1,663)

1. Analysis of net financial debt by type and maturity

€ millions	30.06.2024			30.06.2025		
	Current	Non-current	Total	Current	Non-current	Total
Bonds	1,778	10,907	12,685	1,241	10,339	11,579
Syndicated loan	—	—	—	—	—	—
Commercial paper	196	—	196	379	—	379
Other borrowings and debt	156	133	288	99	96	195
Other financial liabilities	352	133	485	478	96	574
Gross financial debt	2,130	11,040	13,170	1,718	10,434	12,153
Fair value hedge derivatives – assets	—	—	—	—	—	—
Fair value hedge derivatives – liabilities	—	10	10	4	—	4
Fair value hedge derivatives	—	10	10	4	—	4
Net investment hedge derivatives – assets	—	—	—	—	(36)	(36)
Net investment hedge derivatives – liabilities	6	—	6	—	—	—
Net investment hedge derivatives	6	—	6	—	(36)	(36)
Financial debt after hedging	2,136	11,050	13,186	1,723	10,398	12,121
Cash and cash equivalents	(2,683)	—	(2,683)	(1,829)	—	(1,829)
Net financial debt excluding lease liabilities	(547)	11,050	10,503	(106)	10,398	10,292
Lease liabilities	95	352	448	91	344	435
NET FINANCIAL DEBT	(451)	11,402	10,951	(16)	10,743	10,727

The change in net financial debt by cash and non-cash items is analysed below:

€ millions	30.06.2024	Changes in cash flows	Changes in cash flows with no cash impact			30.06.2025
		Total cash flows	Foreign currency gains and losses	Change in fair value	Other	
Bonds	12,685	(1,148)	(278)	7	313	11,579
Syndicated loan	—	—	—	—	—	—
Commercial paper	196	182	—	—	1	379
Other borrowings and debt	288	(108)	15	—	—	195
Gross financial debt	13,170	(1,074)	(263)	7	314	12,153
Fair value hedge derivatives – assets	—	—	—	—	—	—
Fair value hedge derivatives – liabilities	10	—	—	(6)	—	4
Fair value hedge derivatives	10	—	—	(6)	—	4
Economic net investment hedge derivatives – assets	—	—	—	—	(36)	(36)
Economic net investment hedge derivatives – liabilities	6	—	—	—	(6)	—
Economic net investment hedge derivatives – liabilities	6	—	—	—	(42)	(36)
Financial debt after hedging	13,186	(1,074)	(263)	1	272	12,121
Cash and cash equivalents	(2,683)	752	102	—	—	(1,829)
Net financial debt excluding lease liabilities	10,503	(322)	(161)	1	272	10,292
Lease liabilities	448	(113)	(20)	—	120	435
NET FINANCIAL DEBT	10,951	(436)	(181)	1	392	10,727